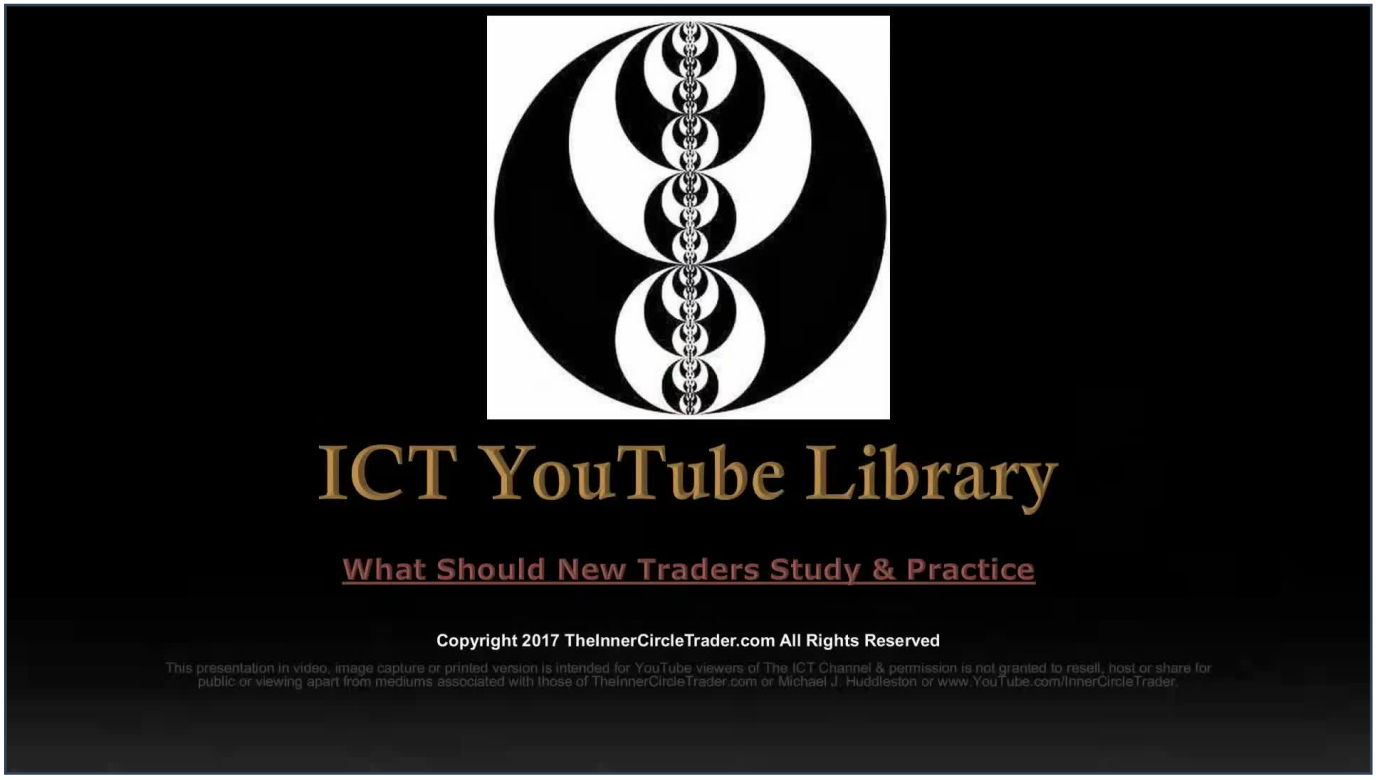
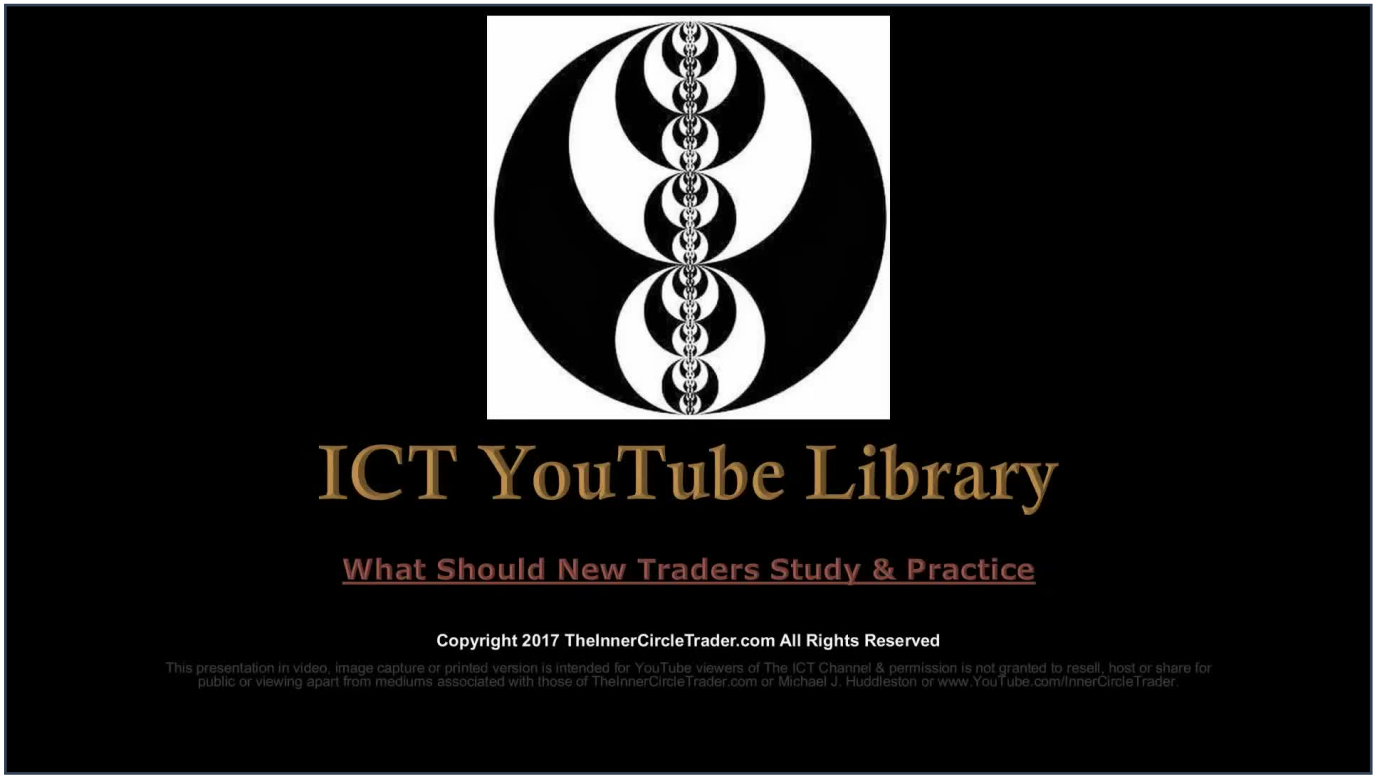
ICT MENTORSHIP CORE CONTENT

ICT FOREX - WHAT NEW TRADERS SHOULD FOCUS ON



Hello folks, welcome back. Alright so, we're embarking on a new journey for some of you and for those who have gone through my old vintage ICT tutorials, these will probably be a little bit more user-friendly and concise. I did have the aim and goal in mind to make them as short, concise is dense as possible with content but still not be so long in a time window. I want the durations to be a little bit more manageable. So that was the goal for this round of tutorials. We're gonna be talking about what should new traders study and practice.



Okay, what's gonna be covered in this module? The ICT concepts used in this one:

- The theory of liquidity raids or stop runs

- Introduction to liquidity pools

- How to locate high probability liquidity pools

- Introduction of the ICT order block

- High accuracy entry points

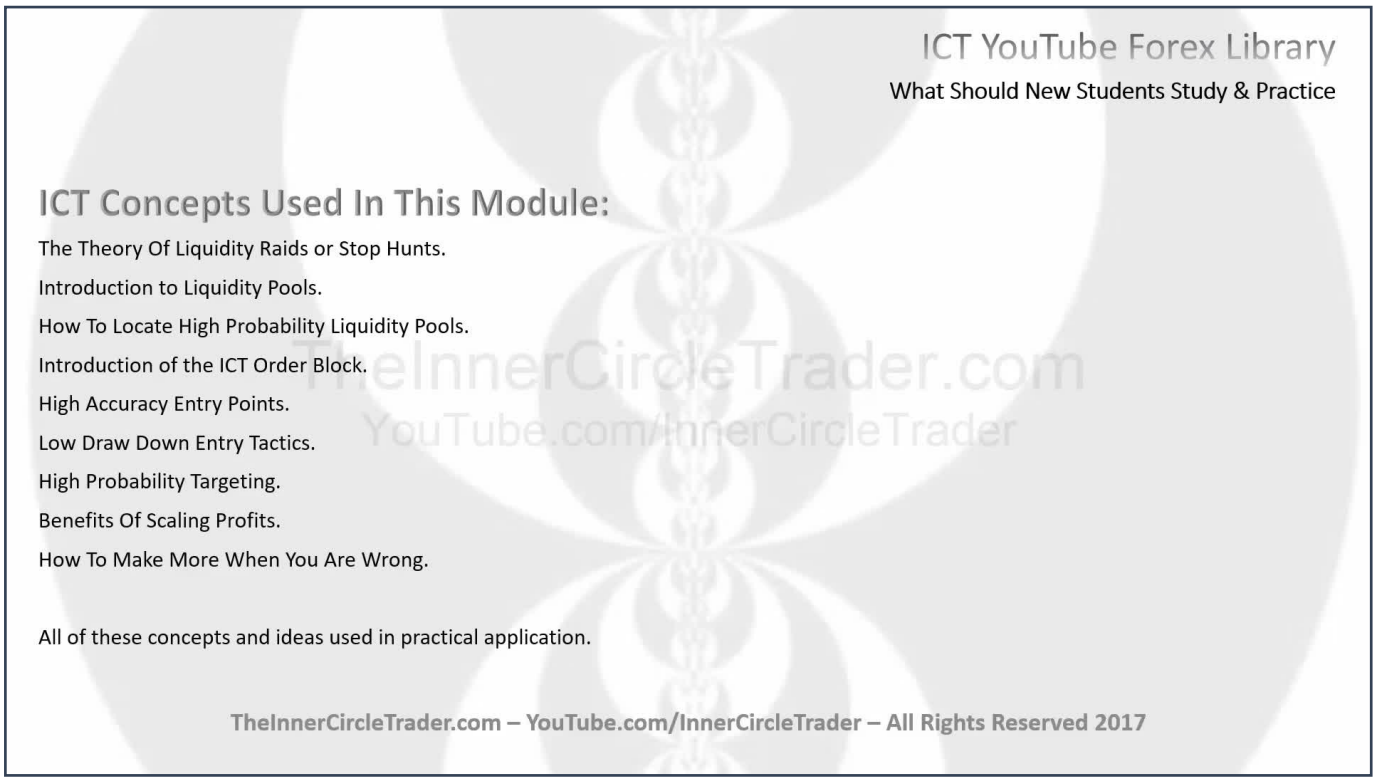
- Low drawdown entry tactics

- High probability targeting

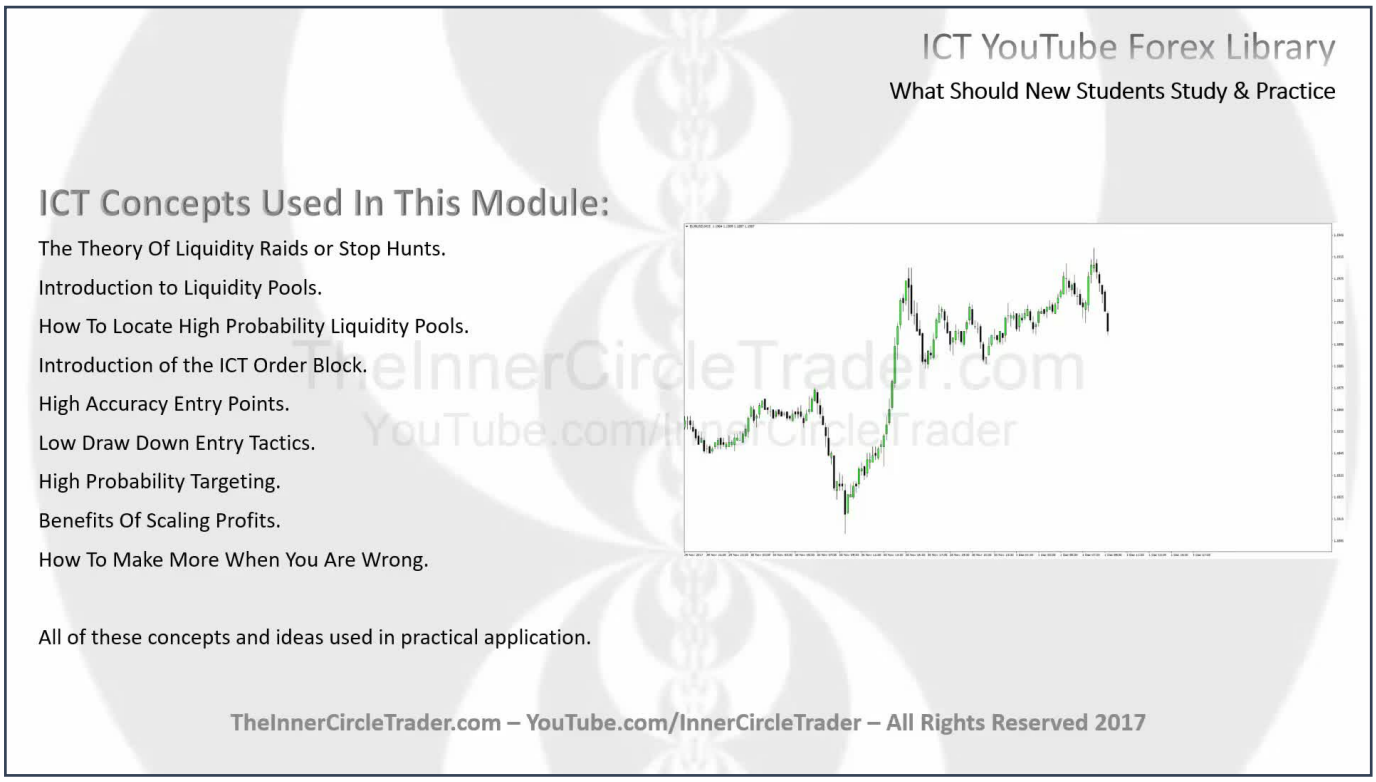
- The benefits of scaling profits

- How to make money when you are wrong

All these concepts and ideas are going to be used in practical application, but before we show you that, it's important to begin with an overview.



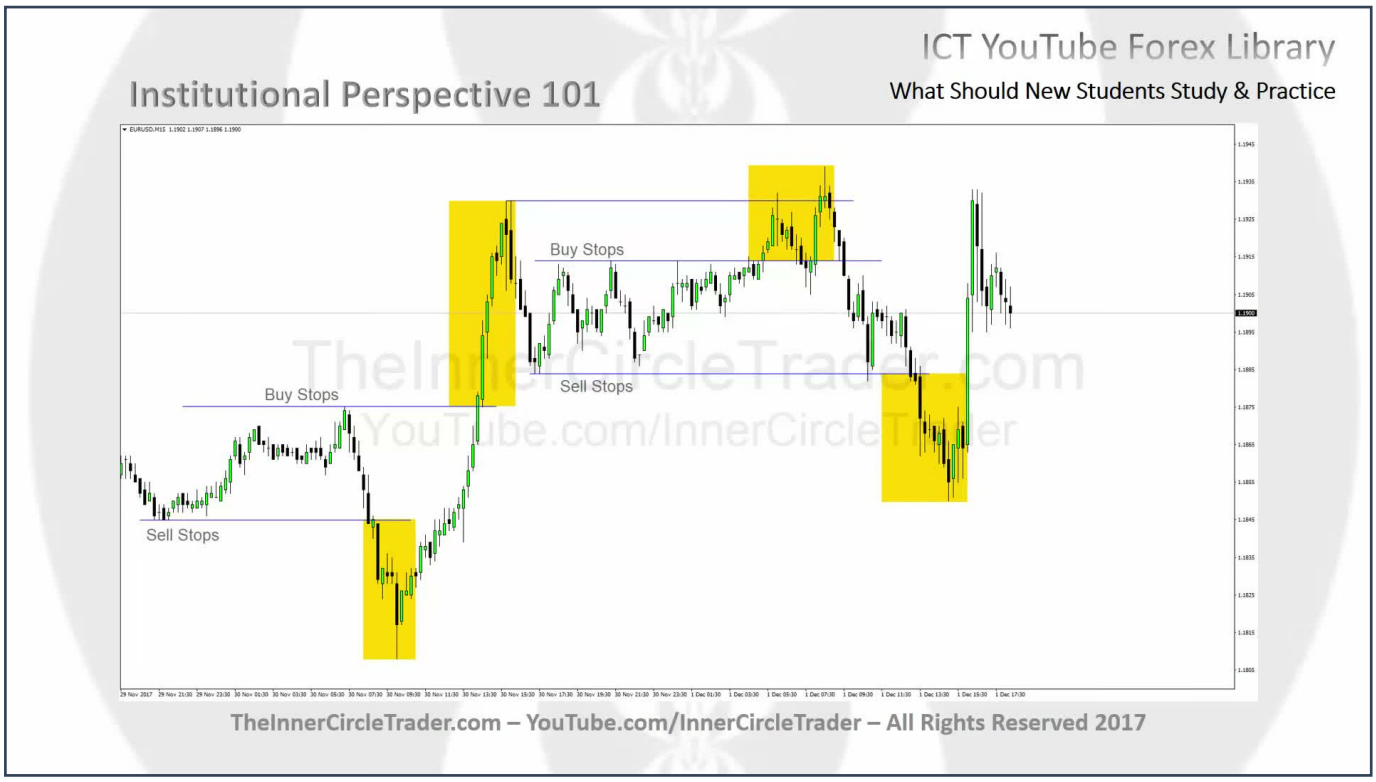
Okay so when we look at price action as a new trader, you're going to come into the marketplace especially with Forex because it's so exciting, it's fast-paced, it's a wonderful market, it's a beautiful market. It gives plenty of opportunities. You can be day trading it, you can scalp it, you can position trade it, you can swing trade it. It's absolutely phenomenal, I love it, it's to me it's the best asset class today. However, like you, when I first got engaged in the study of price action for Forex, I quickly found myself doing a lot of things I should have been doing. And what's worse is I was an experienced trader from other asset classes: stocks, bonds, commodities, and I did trade the currency markets by way of the futures market. So you would think having a decade of or more really of experience before getting involved in the foreign exchange market that I would have had a little bit better grasp on my emotions in my excitement. But that didn't happen because it's 24-hour market, it moved around, very liquid, and it was like a, it's like a candy store for me. So I did a lot of things wrong and I've learned over the years and these videos are gonna help you avoid a lot of those pitfalls. So we're gonna cover an element of price action that I think is essential and if you have no previous trading experience, if you've not opted your mind with the retail stuff that is promoted in the industry, you're actually at an advantage.



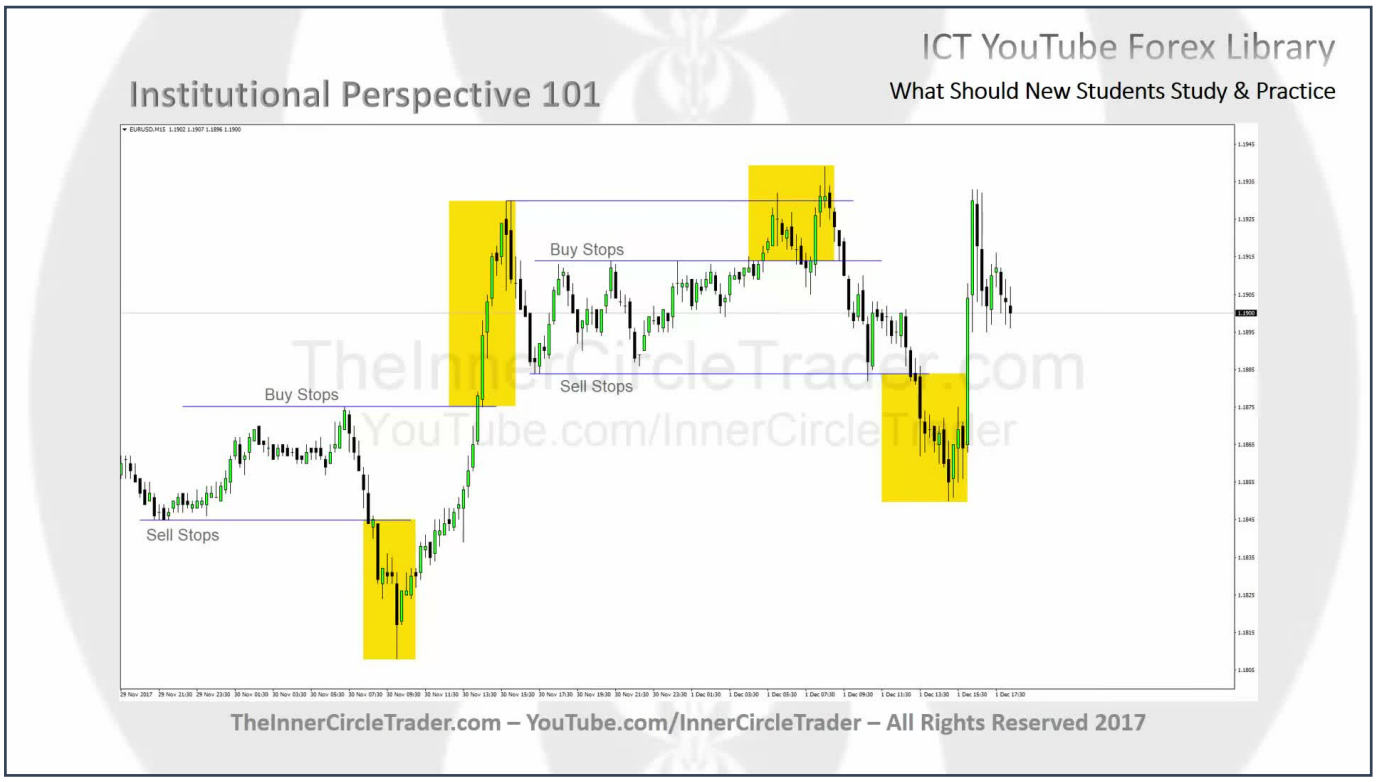
Okay, folks that have gone through trading courses and material are going to have some hardships with this, not just with this teaching, but all of the ones I'm going to be teaching. The constant theme is I want you to think about the marketplace completely opposite to what retail teaches. So retail is like Elliott Wave, supply and demand, harmonic patterns, animal patterns, all these things that you put on your charts, they're all distractions. All you need to know is the open, high, low and close. There's four reference points that make up price and we make charts based on those four reference points. Now we have an element of time that's a factor that won't be talked about in this module but I will talk about it in coming lessons. But I want you to think about when, for instance, we're looking at this chart here, now this is - happens to be the day of this recording's Eurodollar, okay, it's a 15-minute time frame and I want you to look at it and maybe some things jump off, maybe other things aren't so apparent or obvious to you but I want to kind of change your perspective on price action and I want you to focus in on areas in price action. It doesn't make a difference what time frame you look at, okay, because price is fractal, meaning that the things that you can see on one time frame, they can be seen on the lower time frame or the higher time frame as well. So it's a phenomena, it repeats itself. Okay, the same type of formation or setup can be seen on every time frame.

So when we look at price, or how I teach my students to look at price, I want them to first understand what makes the markets move. Okay, without understanding that, your probabilities of being successful in developing yourself in a demo trade is highly unlikely and you must forget about becoming a live fund trader. If you can't do well in a demo, you're not going to do well on a live account. Everything that I'm teaching here should be done in the medium of a demo. All of my teaching is done in a demo and that's just the best way to do it. Play in the sandbox, it's risk-free and you learn to develop good habits this way. So what do you do with a demo account? Well before you even put on trades, I think that it you should be studying price action like this.

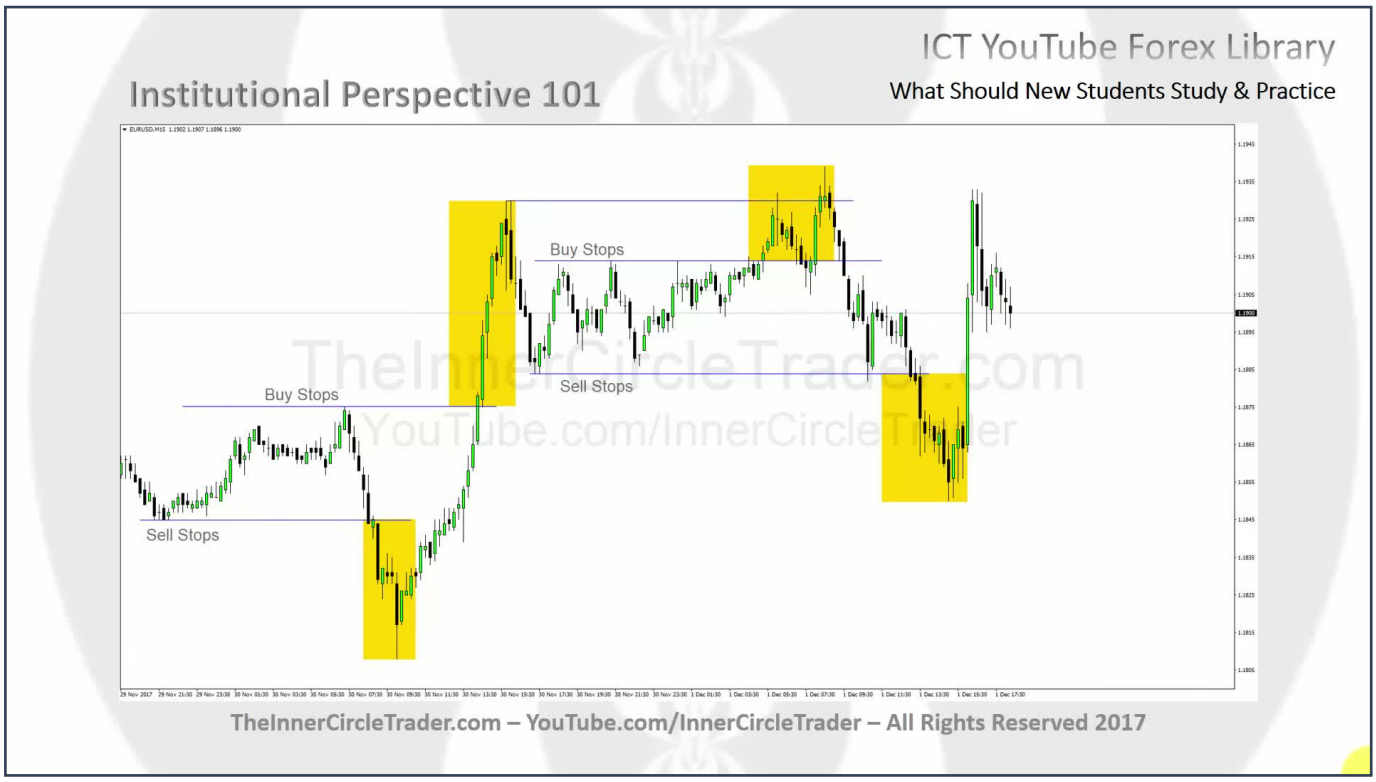
Okay, I want you to think where everyone else's trade idea would fail them. Now think about that because when you read books, they tell you buy here, sell here, your stops here, try to aim for this target. Okay, so they're geared towards getting you into a move and the stop losses are pretty generic: below an old low, above an old high. I have started a new wave of free membership followers online and they have shared their enthusiasm with the discovery of something so simple but it evades most traders, even traders that have been trading for a long period of time. If you look at periods in price action where there are equal highs and equal lows, this is the easiest, most obvious price point to see in charts. Every time you see that, I want you to note that. Okay, put a small little trendline horizontal, okay, and that's the only type of trendline I like, we're delineating previous points where it made equal highs or slightly higher or lower. It doesn't make a difference if it's exactly or if it's off by one or two pips. The general theme is if it looks close enough then it's a double top or a double bottom. Now retail circles will teach that these are good areas to trade off of as support, resistance. Institutional minded traders think entirely different. They know what's sitting above these equal highs - trader's buy stops, and they know what's residing below the equal lows - trader's sell stops.



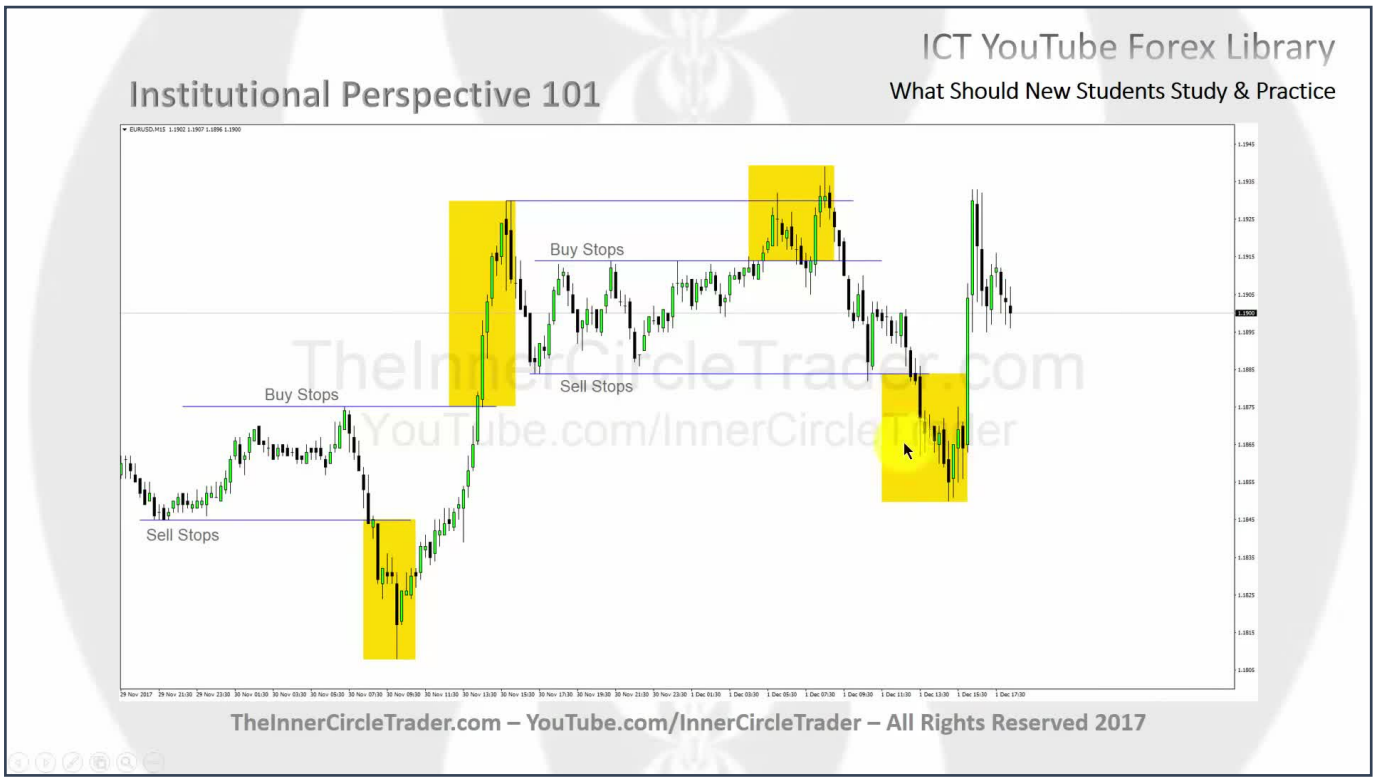
So the way institutional mindset is poised about looking at price action, they're looking for counterparties, they're looking for the opposite side of their trade. So when everyone else is in the retail world looking for indicators to give them buy and sell points, institutions are actually thinking where are the orders resting right now. And the easiest way I have learned to teach traders to start with, and there's other ways to do this, but as far as I'm gonna go in the free content, this is the only one I'm going to teach and it's a very simple one and literally a five-year-old can see it in the chart. So anytime you see a double bottom or a double top, put a small little segment or a line above it or below it delineating it and put a notation what it is. Above double tops on your chart, make a small little notation that it's buy stops and below equal lows, sell stops.



And I want you to study. Do not demo trade, do not try to pick the direction. I want you to study it for one full month. Do nothing else. Pick one or two pairs. Literally go through and watch how many times this phenomenon takes place. You can look at it on any timeframe, but I think a 15 minute time frame is ideal because you'll see a lot of scenarios to pan out. Now I traded two markets today at the time this recording. I sold short the Dollar CAD and also so sold short the Euro Dollar. Okay, both pairs generally do not move in the same direction, but I knew there was a strong likelihood that the Dollar CAD would sell off aggressively and therefore any movement down in the Euro Dollar would be a suspect decline and it would be reaching for sell stops. So that's gonna be the context behind what you see me do later on in this video, that was a recorded trade.



So as we're looking at price, I want you to take a look at this area right in here. Okay, we have equal lows and price has already went above an old high and broke down and it's found an area of consolidation. And this is the very consolidation that I taught you how to trade the New York set up for scalping. I want you to think about that. If this is a short, where could you reasonably expect to see price go? Well obviously, we would expect it to go lower, but targeting what specifically? Well, we know there's equal lows here and I like to look at old lows and old highs and project 10 to 20 pips beyond those double bottoms and double tops. So in this double bottom folks, see that as support. Price comes down, hits it here. Retail minded traders are going to see this rally up as a buy. I do not want you to think that. I want you to think the opposite. I want you to think that this whole scenario is just the market getting ready to sink and go lower and attack the sell stops that are below the marketplace here. For those traders that have been fortunate enough to be long in all this movement, rode up to this high, but still did not take profits and have open positions, and their protective sell stops are gonna be trailed up below these lows. So institutional minded traders, they're gonna see this as liquidity. The market will drop down 10 to 20 pips below equal lows and that in itself, you need to be determining whether or not that's a trade that's viable for you.

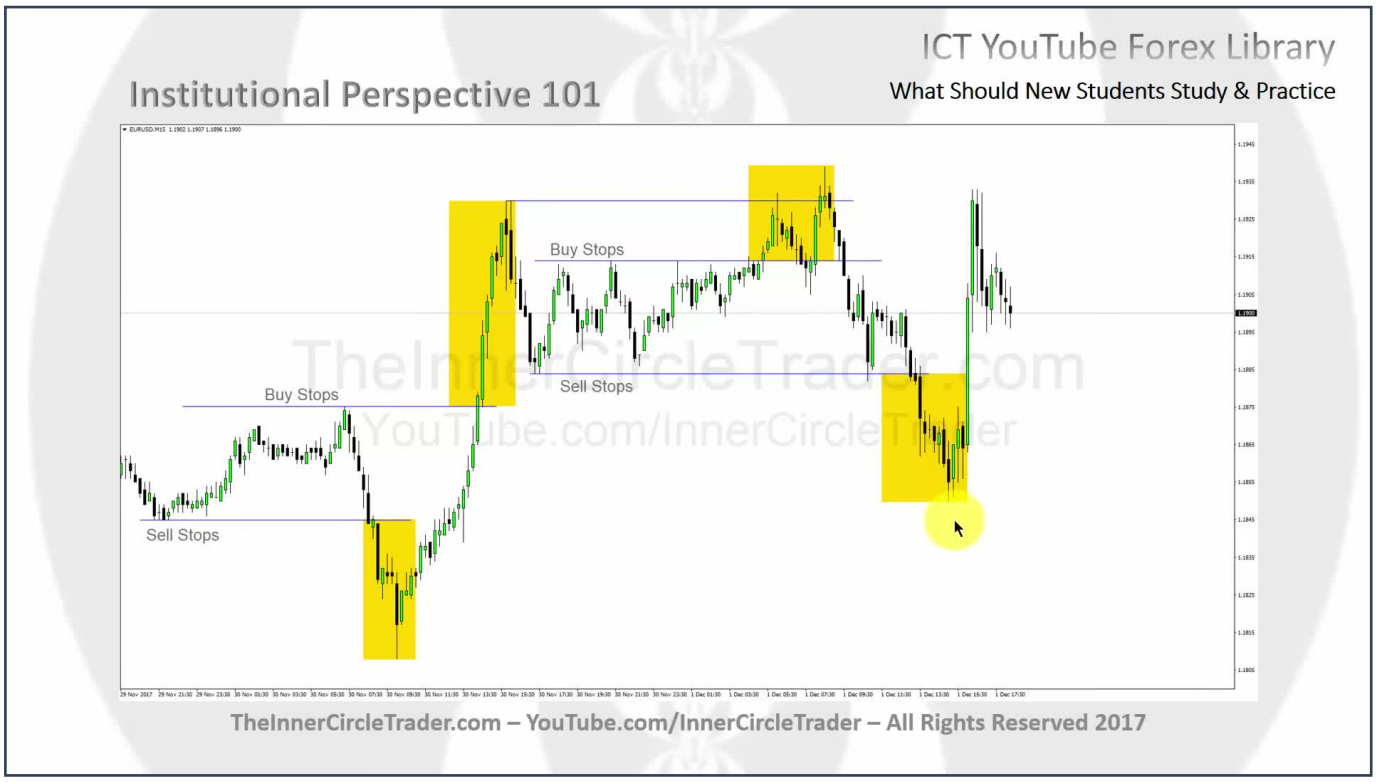


So what's a viable trade? I teach that my students as a new trader should think about 20 to 30 pips per week to start. And that's a very, very low threshold objective. It's easy to get, probably doesn't feel that way now as a new trader but I promise you over a few lessons you'll see how very easy it is to find 20 or 30 pips over the course of a week. The problem is gonna be your ability to refrain from trading once you get it. In your demo account, you should exercise patience and not do any more, wait to the next week. Because this teaches two important and crucial elements to longevity and trading:

- It teaches patience waiting for the next set up.

- There's gonna be a lot of gyrations in the chart that's going to draw your attention, you're going to want to do something with it. There's nothing wrong with paper trading it, in other words making notations and saying okay I would hypothetically do this and hypothetically do that. But when you practice, practice with a demo account doing one execution, manage it to get 20 to 30 pips for the week and then stop. Don't do any more demonstrating.

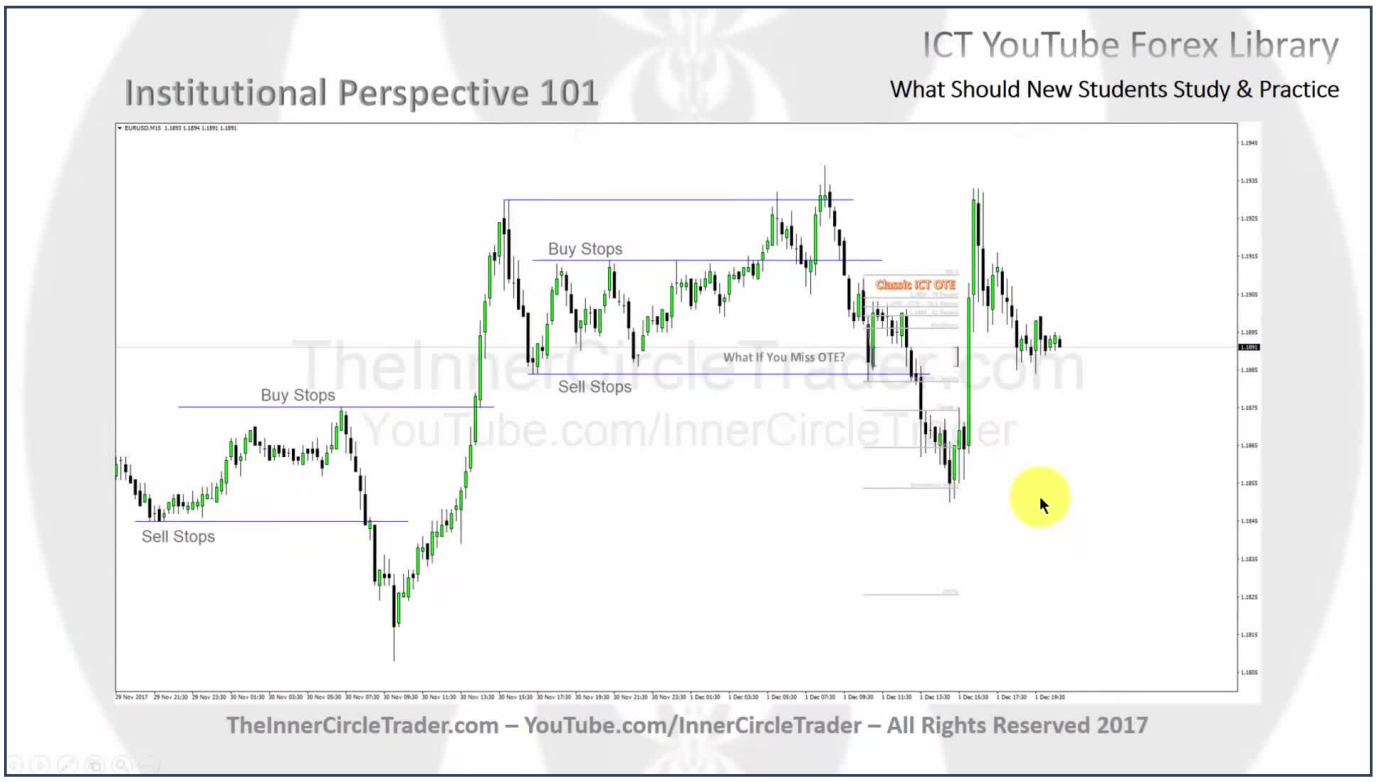
- It also teaches discipline. So you're forcing yourself to follow rules. Everyone else is taught in the books to trade your edge, keep doing the same thing over again while your hands hot, play it hard, that's this foolish. We're not gambling, we're looking for high probability scenarios and setups, so we have to understand what that is.



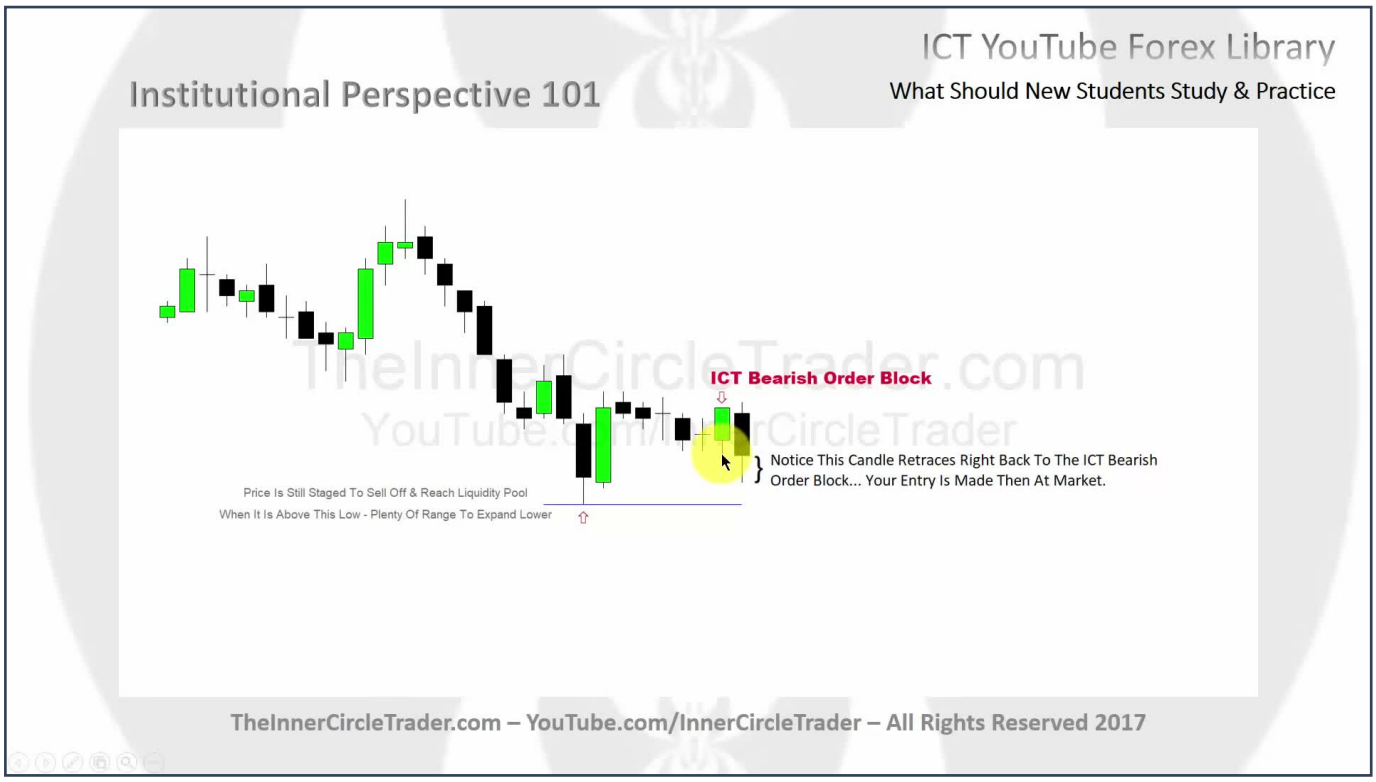
So in addition to and a compliment to the high probability scalping course, I'm using this first video to kind of like segue into a little bit more detail. I want you to think about what makes price move. Prices move to levels where orders reside. Now orders reside above old highs and below old lows. So if we see double tops and double bottoms, our charts should be noted like this. Notice there is an absence of any kind of indicator except for now the application of a Fibonacci.

The Fibonacci is what I taught to use to get the optimal trade entry. Now what I'm going to show you here is the classic ICT optimal trade entry sixty two to seventy nine percent retracement level. Get short, look for an objective going lower. In here you can see how price did have several opportunities to get short at the sixty two percent retracement level. Now finally expanded down, hit the first scaling objective which is the old low seen here, then target one is hit, target two is hit and then the symmetrical price swing. All of these levels are in agreement with running below these equal lows. So it's not the fact that the magic is done by the Fibonacci, the understanding is is there's traders that have been going long here, double bottom is going to have trail on their by positions, ringing their sell stops up. So the markets going to come back and grab those orders. The market does in fact collect all the sell stops and then look at the nice vault higher in price afterwards. This big response here is post sell stop raid. In other words, after the sell stops have been gathered up and tripped, anybody that was long now has been knocked out so if they bought here or somewhere in this run up here, okay, they have been taken out, they can't capitalize on anything going higher.

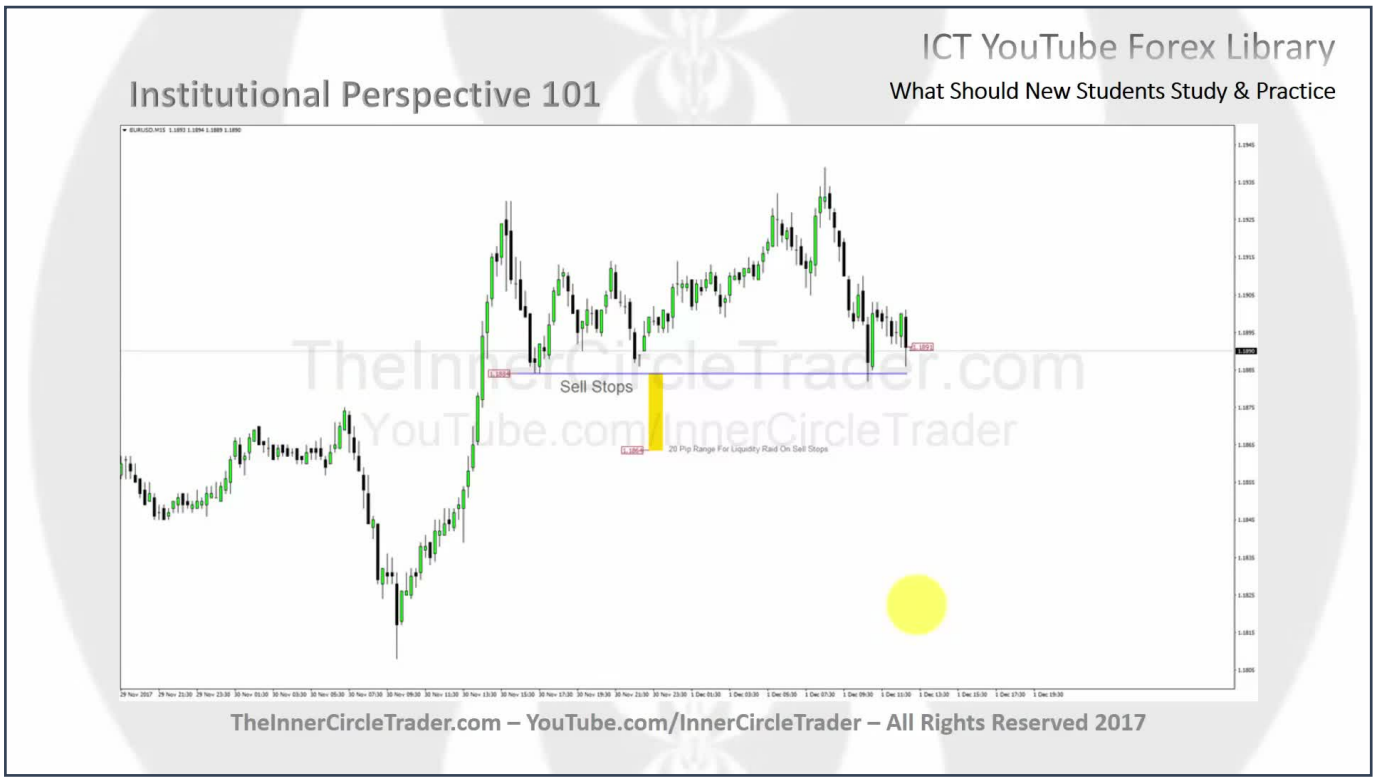
But what happens if you don't have the classic ICT optimal trade entry on your chart? So you miss it, what do you do? Well if you don't get into that Fibonacci 62 to 79 percent retracement level as that balance occurs here, what are you left to do? Do you just let the trade go? No. Over the years I've shared examples of me getting into a trade and for those individuals that aren't really interested in learning from me, they they're quick to point and say, well that's chasing price. And you're gonna see just because we're not entering at the 62 to 79 percent retracement level and we're getting in somewhere down in here, that's not chasing price. It's absolutely not chasing price. And I'll give you a perfect example of it in this recording. But I want you to think about what can we do as traders if we don't get this area up here, because I first taught that this is where you should get in. It the problem is over the years I've been inundated with emails stating that folks don't have the courage to get in and they want to get in but many times they are too afraid to chase price because they heard me preach don't chase price, don't chase price. My definition of chasing price would be once it breaks below the low here, then you are chasing price. You if it's gone too far and you're too close to where the targets would be to be able to see a profit. Okay, so what do we do? Well we can focus in above that low in this area.



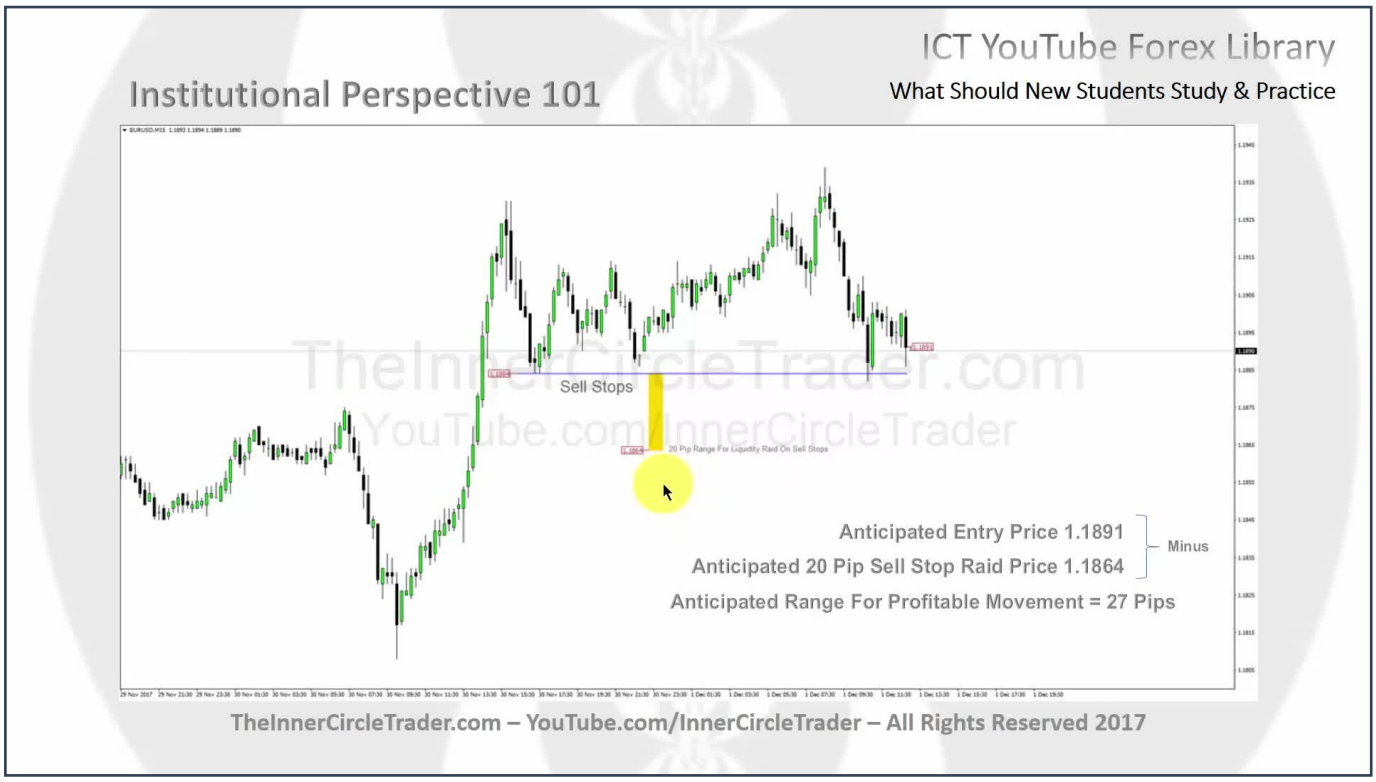
Right in here, I'm gonna take you right into that area with a little bit more detail. So this is that section of price action we just zoomed in and I want you to look at this, the up candle right in here, prior to this down move. This is what I refer to as a bearish ICT order block. Now every up close candle and every down close candle does not make an order block. Okay, there has to be a context or a storyline behind why the price should be doing what you anticipate it doing. In this case, we think that the sell stops below the marketplace are going to be rated. Any time we see an up close candle, smart money will be in that candle selling short. But how can we use that information? Well this very next candle, if you read the annotations on the chart here, price actually returns back to the bearish order block low. Okay, now what's the low of this candle right here? Price is returning back to it, right the time of this candle is closed it hits that low at that time. That's a low risk entry. Despite trading lower initially, we can wait for price to retrade back to the order block to get in if we know what we're looking for. So this retrade back to the bearish order block is a low risk entry point. Now if the short is valid, this up close candle will hold price below it until the targets are reached on this case the sell stops that we'd be talking below the equal lows. Now notice also in here, as long as price is still above this low, this setup is staged properly to reach for the liquidity pool below there's equal lows I noted a moment ago in the recording. Now as long as it's above this low right here, the setup is still valid. But now I want you to think about this formation right here, this candle already starts moving lower, it went down to this point here and then started trading back up higher. At that moment while you're watching price right in here, that's when you time your entry. Notice that the candles retracing right back to the ICT bearish order block's low, that's this up close candle's low. That is exactly when your entry is made at the market. Institutional traders will short during up moves. Now when price returns back to these up close candles, we can be shorting it as well.



Alright so now back to our example here, if we see that we can find levels that have double tops and double bottoms in the market, we'll want to go through them. Once this occurs, chances are the market's going to go the opposite direction until it reaches another area of liquidity. So the market's always gyrating back and forth, back and forth, seeking liquidity above the marketplace and below the market place. Below these equal lows, there's a specific range that I look for. It's 10 to 20 pips, sometimes it can be as much as 30 pips, but I give a working range of 10 to 20 pips. So there's only two levels I'm looking for. It's not a zone. Exactly 20 pips below that low at 118.84, it's 118.64. Okay, really simple, specific price levels, not zones, not ambiguous areas to try to figure out what's going on. It's exact, it's a science, we know exactly what we're looking for.



But the problem is what if we are expecting to sell short at that bearish order block at the low when it trades back to it, does this offer potential for us to take a trade? Well we have an anticipated entry price at 118.91. We have an anticipated 20 pip sell stop raid price at 118.64. So in other words, we're anticipating getting in at 118.91 up here, which is the low of this up close candle and we already know 20 pips below these lows, the lowest of the to equal lows is what I use, 20s below that. That gives us a range low of 118.64. So now we have 2 price points to determine whether there's enough of a range to make profit. You take these two numbers and you minus them. 91 from 64 gives us 27 pips. So we have anticipated range for profitable movement of 27 pips. That is enough to take the scalp.



Now what I want you to do is I want you to watch me use everything that's used here because this is what was going on in my mind before I actually executed and why I took the trade. Okay folks, we're gonna be doing a short and I'm waiting for the trade right back to the bottom of this candle here, set the trade to 118.91. Also short, not in a hurry. If it takes off without me, that's fine, but I'm trading the bearish order block in here. Alright folks, so I'll be looking for that price at 118.91. As soon as it hits it, at market, I will go short. Now my stop has to be above the up close candle or bearish order block, but because of a spread in this demo account, it forces you to be 10 pips away, so I'm just gonna elect to go with 119.15 for my stop. Okay, it's about there.

I'm fingers on the trigger, I'll have to do boom, okay, now I'm short. My stop is just below 119.15 and I'm focusing my attention right below these equal lows because I want to see a sell stop raid. So I'm gonna put my delineation somewhere that would be in terms of targeting and just in case I had my limit order lower down to here. Okay, so if it goes down to that low and it's not a stop run, I have a limit order to catch any accelerated price movement. But I'm really targeting that 20 pip run. So I have three Lots short. I'm watching price. I want to see it trade below that short term low we're flirting with and then have a range expansion below there.

So this recording is actually sped up for time purposes, but right now we're retesting the bodies of the candles in the previous short-term low and now I'm gonna be looking for expansion on the downside and it'll reach 10 pips and hopefully 20 pips. It's about two minutes late from 8:30 New York time, usually it's a big volume increase for volatility and I'm setting my order up to collapse two of the three standard Lots that I'm short on Euro and I'm watching, waiting to see if price gets down to that second level or 20 pips. Okay, it's already showing 10 pips up the decline. As soon as it hits that lower level line, I'm gonna collapse two of them. There you go, and move my stop down to +1.

Now I'm in a situation where I don't really care but look at the entry points: zero heat, no drawdown on that entry, no drawdown whatsoever. It was not chasing price. So I have two of the three standard Lots banked and now I'm watching price later on and I'm gonna be looking to lower the stop-loss and I may get lucky here and see a run down to that limit order. But always keeping in mind that it started to trade with the context of it being just a stop run on sell stops. So I want to be mindful of how much the price shows a willingness to stall or not want to go lower. And I'm watching price in here to do that. So I've collected a small portion of the position also. Now here's the second time taking something off, so a very small portion of the original three standard Lots, one that's the small little fragment of the position.

Price does one more attempt to break lower again. Now it's ten o'clock, so time has passed, about an hour and a half is going by and at this time I'm watching price. I do not want to see it reverse or start to show a sign of rejection. Stop has been lowered to now I'm gonna be trying to lock in 20 pips with my stop-loss. As it breaks down, I will lower my stop so that way if it does knock me out, now I have 20 pips locked in. 25 pips is locked in. Now we're in an area where it could start to reverse. It could fail to get down to that other limit order, so I'm not gonna be able to move to stop because the spread won't permit me to do so. So I have to either allow my stop to be hit or my limit order to be taken or I can collapse the trade. Now I was away from the computer here at the time, but had I been there, I would have been collapsing right now.

CONCLUSION OF TRADE AND POST-STOP RUN REACTION

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Well ultimately price comes back up and it does in fact stop me out eventually as you'll see, but I profited along the way taking out small portions because you never know, you never know if it's gonna go down to your objective. And if you've taken the risk on initially, that risk needs to be reduced to a point of which where it's no longer impactful. And there's my stop-loss being tagged and there is the fruits of that short. Very, very predictable in terms of price action and not a bad little scalp for a run on stops. The context was there, everything was outlined and you can see the post trade results. Ultimately later on you can see as we showed in the beginning the video, Euro dollar does vault up higher after running those stops. Hopefully you found this insightful. Until next time, I wish you good luck and good trading.